

Oct nov 21 V13

1-A

We are interested in an option that results in a leftward shift in the production possibility curve, such that the "output of car reduces"

A- A fall in "output per worker" in the car industry means that the labor productivity is falling in the car industry that would cause the "output of cars to reduce", as the potential of the car industry has now declined. This is why, this option becomes correct.

B - A fall in the level of competition in the car industry may make the firms X-inefficient, that is, when there is no incentive to work hard, leading to a rise in costs , but that would shift the "short-run Aggregate supply curve". Shift in the PPC is associated with a fall in the long-run Aggregate Supply.

C – A rise in the potential workforce would increase the productive potential of the economy, which will cause the PPC curve to shift rightwards.

D_ A rise in the price of cars would not affect the potential of the economy.

2-C:

Option A, a free market economy, is an economic system where the prices of goods and services are determined by supply and demand, with little or no government intervention. In a free market economy, the government does not provide goods and services to citizens, and the provision of these goods and services is left to the private sector. This description does not match the scenario described in the question, where goods and services are provided by both the private sector and the state.

Option B, a joint economy, is not a commonly used term to describe an economic system.

Option C, A mixed economy is an economic system that combines elements of both a free market economy and a planned economy. In a mixed economy, both the private and public sectors play a role in determining economic outcomes.

Option D, a planned economy, is an economic system where the government controls the production and distribution of goods and services. In a planned economy, the government decides what goods and services will be produced, how they will be produced, and how they will be distributed. The scenario described in the question does not match this description, as some goods and services are provided by private sector firms.

3-A:

Acceptability is the characteristic of money that refers to its widespread acceptance in transactions as a medium of exchange. Illegal coins, which are not recognized by the government or central bank, are not accepted by individuals and businesses. As a result, they pose a threat to the acceptability of the official currency and can undermine confidence in the monetary system.

A) Acceptability: This refers to the general willingness of people to accept a form of currency as a means of payment. In the case of illegal £1 coins, their authenticity and legitimacy as a form of currency could be called into question, which could cause people to become hesitant to accept them as payment. This could ultimately lead to a loss of trust in the currency and a reduction in its overall acceptability. **This is why, this becomes correct.**

B) Divisibility: This refers to the ability of a currency to be divided into smaller units that can be used to purchase goods and services of varying prices. The issue of illegal £1 coins doesn't necessarily impact the divisibility of the currency, as these coins can still be divided into smaller units, such as 50p or 10p coins.

C) Durability: This refers to the ability of a currency to withstand wear and tear and remain in circulation for an extended period of time. In the case of illegal £1 coins, their durability may not necessarily be in question, but their authenticity and legitimacy could be.

D) Portability: This refers to the ease with which a currency can be carried and used in transactions. The issue of illegal £1 coins doesn't necessarily impact the portability of the currency, as these coins can still be used in transactions like any other £1 coin.

4-B:

A positive statement is a statement that can be tested or proven to be true or false.

Option A is a normative statement because it expresses an opinion on what is “**preferable**” without providing any factual evidence to support it.

Option B is a positive statement because it can be tested by looking at the relationship between inflation and macroeconomic stability, thus making this correct.

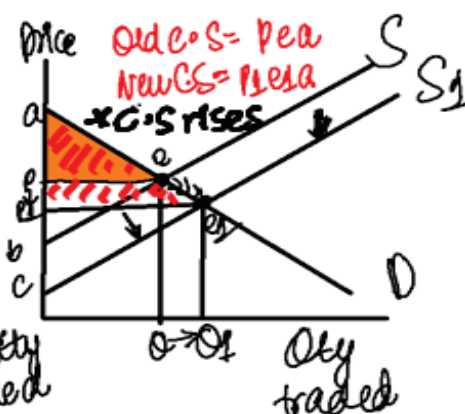
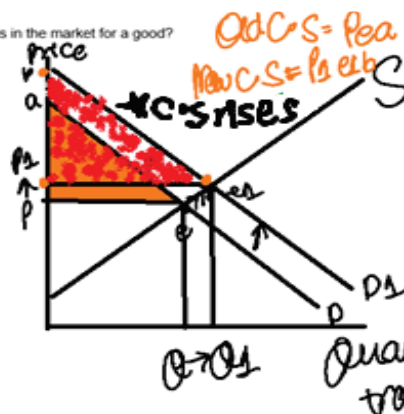
Option C is a normative statement because it expresses an opinion on what the government should do without providing any factual evidence to support it. **The choice of words, for example, “must” makes it evident**

Option D is a normative statement because it expresses an opinion on what the government should do without providing any factual evidence to support it. **The usage of word ‘should’ makes it evident.**

5-D:

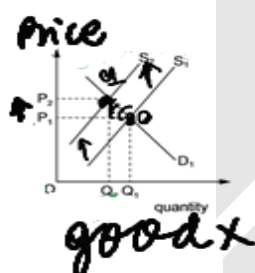
5 What could cause an increase in consumer surplus in the market for a good?

	an increase in demand for the good	an increase in supply of the good
B	no	yes
C	yes	no
D	yes	yes

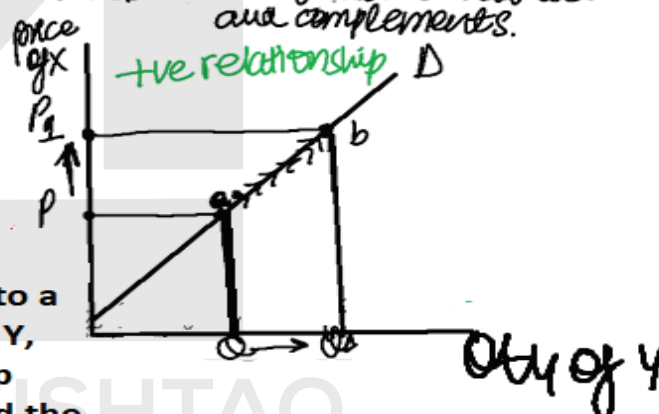


✦ Consumer surplus is the difference between the maximum amount a consumer is willing to pay and the total amount that he ends up paying, that is, the market price.

6-C:



→ X & Y → related goods → substitutes and complements.
+ve relationship

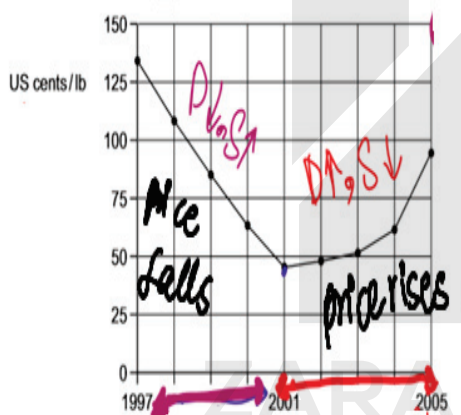


✦ A rise in the price of good X leads to a rise in the qty demanded for good Y, representing a positive relationship between the price of one good and the demand for another, in case of substitutes.

- In this scenario, there is a fall in supply of good X, as a result of which there is a rise in price for good X. Because of a rise in price for good X, the demand for good Y is shown to increase, because of which there is rise in price for good Y.
- This means that we are interested in an option in which a rise in the price of good X causes a rise in the demand for good Y.

- A- X and Y cannot be complements, since in the case of complementary goods, a rise in the price of good X should cause a fall in demand for good Y, since there is a negative relationship between the price of one good and the demand for another in case of complements.
- B- In case of jointly-supplied goods, goods are produced together but for different purposes. In this case, changes in demand for good X and in turn changes in prices should bring about changes in **supply of jointly supplied commodity** that is good Y. This is why this option is incorrect.
- C- X and Y are substitutes, as an increase in the price of X will cause an increase in demand for good Y as consumers would now switch to good Y since it would now appear relatively cheaper. This is because of a positive relationship between the price of one good and the demand for another in case of substitutes, making this option correct.
- D- Derived demand is when the demand for a commodity is derived from the demand of the final product that uses it. We cannot say if Y is a derived demand from X, since in this case, for example: a rise in demand for good X would cause the demand for good Y to increase too. Similarly, a fall in the demand for good X would have caused a fall in the demand for good Y too. This is why, this is incorrect

7-B:



A - Between 1997-2001, the price of coffee is shown to fall. Had the price of tea risen in this time, the demand for coffee, that is, the substitute would have risen, since there is a positive relationship between the price of one good and the demand for another in case of substitutes. As a result of which, there would have been an upward pressure on price of coffee.

B - If new producers of coffee would have entered in the market, there would have been a rise in the market supply, resulting in a fall in the price of the coffee, in the period 1997-2001. This is consistent with the price behaviour shown in figure 1. This is why, key B, becomes correct

C - A series of good coffee harvests between 2001-2005 is representative of a rise in supply, that would result in a fall in the price of the coffee. On the contrary, in the time frame from 2001-2005, the prices are shown to rise.

D - Increasing health worries about drinking coffee would result in a fall in demand, and subsequently a fall in price of coffee. But, in the period of 2001-2005, the price is instead shown to rise.

8-C

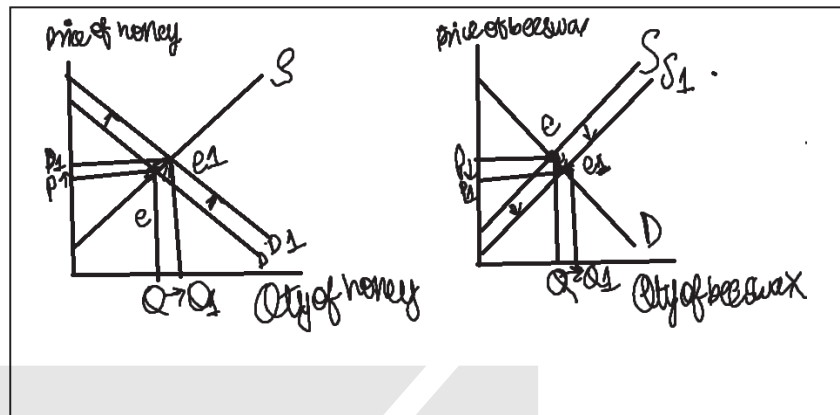
We are interested in an option that results in a rightward shift in the supply-curve.

A- An increase in the cost of production would cause a leftward shift in the supply-curve.

B- An increase in incomes of consumers would result in a rightward shift in the demand-curve.

C- Honey and beeswax are jointly-supplied goods, since they are produced together but for different purposes.

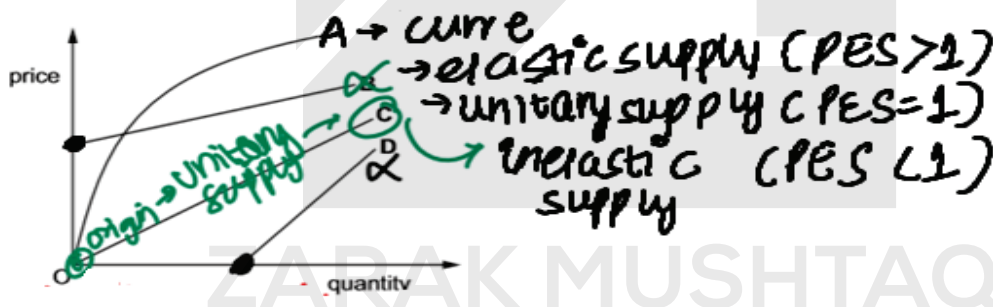
A rise in demand for honey and in turn an increase in honey extraction, will cause an increase in the supply of jointly supplied commodity that is beeswax. This can be shown through the diagram in the right.



From the above example, we can understand how an increase in the demand of a jointly-supplied commodity would increase the supply of the other good, this is why this option is correct

D- An increase in the price of a product would result in an extension in qty supplied (movement along the supply curve of the good), instead of bringing about a rightward shift in the supply curve, thus making this option incorrect,

9-C:



A - A curve cannot have constant price elasticity of supply since its **slope changes**.

B - Since it touches the vertical axis, this represents 'elastic supply'. PES will be greater than 1, but the values will be different throughout the length of the curve.

C - Since the curve begins from the origin, this represents **unitary supply (whereby PES=1)**; this means that the price elasticity of supply will be constant throughout the length of the supply curve.

D - Since the curve touches the horizontal axis representing inelastic supply, this means that the PES will have a value of less than 1, but its value will be different throughout the length of the supply curve

10-C:

$$\frac{\% \text{ change in } QD}{\% \text{ change in price}} \rightarrow \frac{25\%}{-10\%} \Rightarrow 2.5$$

old price: 100, old QD: 200
New price: 90, New QD: 250

$$\% \text{ change in } QD: \frac{250 - 200}{200} \times 100 \rightarrow 25\%$$

$$\% \text{ change in price: } \frac{90 - 100}{100} \times 100 \rightarrow -10\%$$

11-C:



In order to achieve the new equilibrium point from E1 to E2, there must be an increase in demand for the product and a decrease in supply too.

- A- We are not interested in an option that results in a decrease in both the demand and the supply of the product.
- B- We also do not require an increase in both : the demand and supply of the product.
- C- An increase in the incomes of consumers will result in an increase in demand for the product, and since a decrease in supply is also occurring ,this option becomes correct.
- D- An increase in price of a complementary good would result in a fall in demand for the product ,whereas, supply is shown to increase here, which makes this incorrect.

12-D:

Option D, At a price line of \$3, there is a shortage in the market as Quantity demanded of 160 is greater than the quantity supplied of 140. The shortage is by 20 units.

There are two options: either decrease demand by 20 or increase supply by 20.

If the government subsidizes kiwi fruit production by 2, this will increase supply. If we see at price level 1, the farmer was willing to supply 120 units but at the price level of 3 (greater by \$2) farmers supply increased by 20 units to 140 units.

Similarly, if the government subsidizes 2\$ per kg, that is, it provides farmers help by providing a grant of 2 dollars on every kg, the farmers willingness to sell will increase, and supply would increase by 20 units from 140 units to 160 units.

12 The table shows the market demand and market supply for kiwifruit over a year.

At a market price of \$3 per kg there is disequilibrium in the market.

price of kiwifruit (\$ per kg)	total market demand (thousand tonnes)	total market supply (thousand tonnes)
1	220	120
2	190	130
3	160	140
4	130	150
5	100	160

OPTION D: At price line of \$3, there is a shortage in the market as Quantity demanded of 160 is greater than the quantity supplied of 140. The shortage is by 20 units. There are two options: either decrease demand by 20 or increase supply by 20.

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shortage of \$20

A – Imposition of indirect tax would further decrease supply, leading to shortages being exacerbated.

B – If the government purchases the entire supply, and sells it at a lower price of “2”, this will lead to a shortage of ‘60\$’ being created, since a lower price level would result in an extension in qty demanded further.

C – A maximum price has a potential to further exacerbate shortages. It can already be seen that, at a price level of 3, there is a shortage even before the maximum price.

13-C:

- 13 The cross-elasticity of demand of good S with respect to the price of good P is +1.5
The cross-elasticity of demand of good S with respect to the price of good R is -1.5
The cross-elasticity of demand of good P with respect to the price of good R is -1.5

→ S and P are substitutes
→ S and R are complements
→ P and R are complements

What can be concluded about goods P, R and S?

- A S and P are complements; P and R are substitutes
B S and P are complements; R is an inferior good.
C S and P are substitutes; P and R are complements.
D S and P are substitutes; R is an inferior good.

Yes
C
We don't have information about
We don't have information about

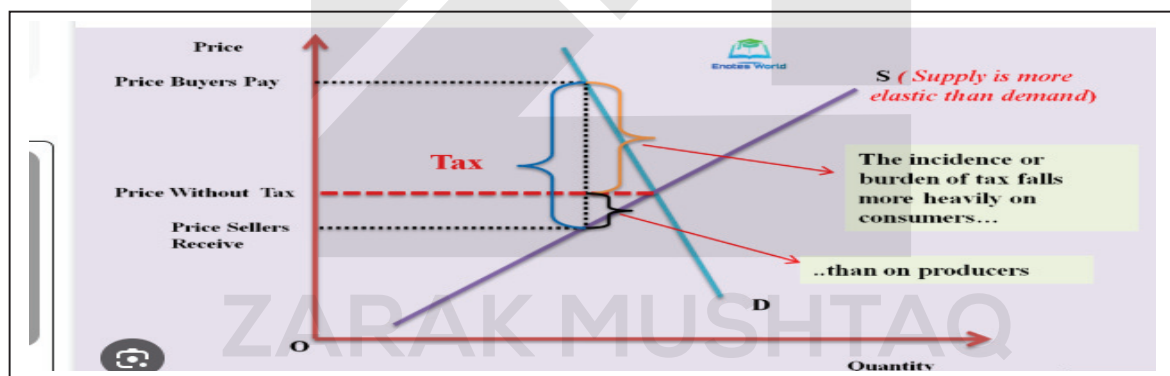
14-A:

A - High price elasticity of supply: This means that the quantity supplied of a good or service is highly responsive to changes in price. **If the supply of a good is highly elastic, then producers can easily adjust the quantity supplied in response to changes in price, which makes it easier for them to shift the burden of the tax onto consumers.** This is because if the tax increases the costs of production, producers will reduce their output and the burden of the tax will fall on consumers who will end up paying more for the same qty of the good. This can be seen in the diagram below.

B) Low price elasticity of supply: This means that the quantity supplied of a good or service is not very responsive to changes in price. If the supply of a good is inelastic, then producers have limited ability to adjust the quantity supplied in response to changes in price. **This makes it harder for them to shift the burden of the tax onto consumers. In this case, producers may end up absorbing more of the tax themselves, which would reduce their profits.**

C) Unitary price elasticity of supply: This means that the quantity supplied of a good or service changes by the same percentage as the change in price. But, this won't ensure that consumers bear most of the burden.

D) Perfectly inelastic price elasticity of supply: This means that the quantity supplied of a good or service does not change at all in response to changes in price. In this case, the burden of the tax would fall entirely on **producers**, as producers would not be able to respond by transferring the burden of higher prices to consumers.



15-B:

Option A is incorrect because one person's consumption of a public good does not make it unavailable for anyone else **because of non-rivalry**.

B) Public goods are non-excludable, meaning that it is impossible to exclude someone from using them, and non-rivalrous, meaning that one person's use of the good does not reduce the amount available for others to use. As a result, people can consume public goods without paying for them, which creates a free-rider problem. If the production of public goods were left to the private sector, firms would have no incentive to produce them since they could not charge consumers a price for their use, and as a result “market failure” would exist.

Option C is incorrect because the private sector cannot charge a significantly higher price for public goods since **due to free rider-problem, there is no mechanism to charge prices for them, which is why, the private sector "never provides them"**

Option D is incorrect because the cost of producing public goods is not higher in the private sector. **This is because the private sector never provides for them.**

16-B:

→ A transfer payment is a payment made by a government to a person or group of people that is not made in exchange for a good or service.

Option B, government pension payments, is a transfer payment as it is made by the government to individuals without the exchange of a good or service. The payment is made to support individuals who have retired from work and need financial assistance. This is why, option B is correct.

Option A, households' payments of indirect taxes, is not a transfer payment as it is a payment made by households to the government in exchange for a good or service. Indirect taxes are imposed on goods and services and are paid by households when they purchase these goods and services.

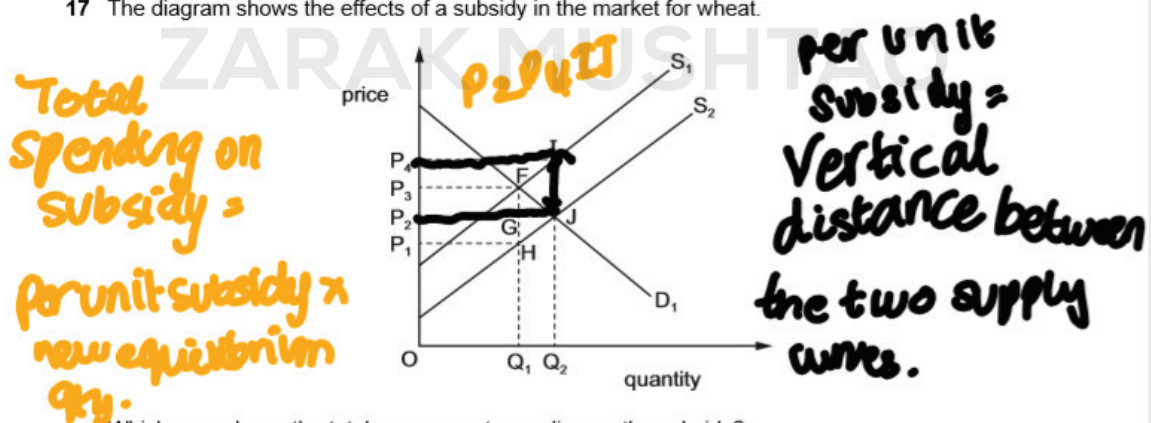
Option C, payments between firms for the supply of raw materials, is not a transfer payment as it is a payment made between two firms in exchange for a good or service. The payment is made for the supply of raw materials, which is a good.

Option D, payment of salaries, is not a transfer payment as it is a payment made by a firm to an individual in exchange for a service. The payment is made for the work done by the individual.

17-D:

→ Total government expenditure on subsidy is (per unit subsidy* new equilibrium qty) OR (consumer benefit+ producer benefit)

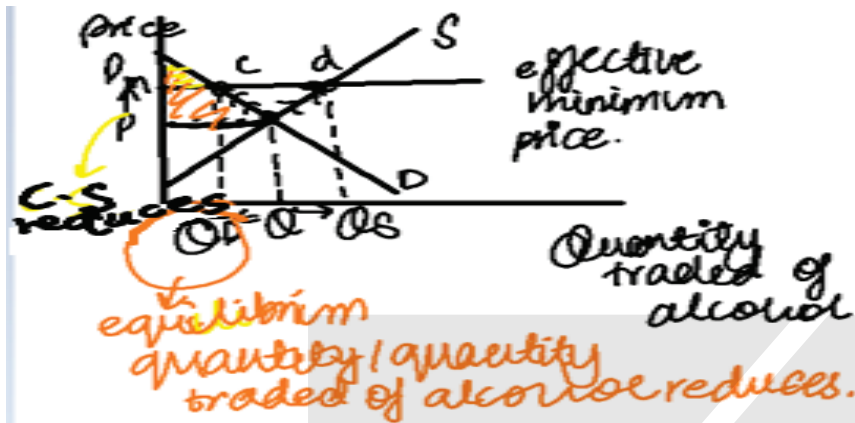
17 The diagram shows the effects of a subsidy in the market for wheat.



Which area shows the total government spending on the subsidy?

- A OP_2JQ_2 B OP_3FQ_1 C P_3FJP_2 **D P_2P_4IJ**

18-C:



The correct policy for the government to reduce the consumption of alcohol by fixing the price of alcohol is to fix a minimum price above the market price. Therefore, option C is the correct answer, and the other options are incorrect.

Option A, fixing a maximum price above the market price, is firstly an **ineffective price ceiling**, and **secondly**, it would not be an effective policy to reduce alcohol consumption. If the maximum price is higher than the market price, it would not impact the demand for alcohol and would not reduce consumption. Instead, initial equilibrium quantity will be traded

Option B, fixing a maximum price below the market price, would not be an effective policy to reduce alcohol consumption either. If the maximum price is lower than the market price, it would create a shortage of alcohol, leading to a black market and illegal sale of alcohol, which could be more dangerous and harmful.

Option D, fixing a minimum price below the market price, would also not be an effective policy to reduce alcohol consumption. This is because, minimum price legislation would then be ineffective. This is because, even though it would ensure that prices can not fall, but when prices rise, it will lead to them reaching the equilibrium, making price mechanism operational.

Therefore, fixing a minimum price above the market price is the correct policy because it would increase the price of alcohol, making it less affordable and reducing the demand for alcohol. This, in turn, would lead to a reduction in alcohol consumption, thereby achieving the government's aim of reducing alcohol consumption.

ZARAK MUSHTAQ

19-B:

→ The theory of comparative advantage states that trade is beneficial between two countries when each country specializes in producing the goods in which it has a comparative advantage, which is determined by the country's opportunity cost of production.

Option A is incorrect because the theory of comparative advantage does not rely on differences in tastes or goods. Instead, it is based on differences in the opportunity cost of production.

Therefore, **option B** is the correct answer because it recognizes that each country has different opportunity costs of production, which is the basis for trade according to the theory of comparative advantage.

Option C is incorrect because the theory of comparative advantage argues that even if one country has an absolute advantage in producing both goods, trade **will only** be beneficial if each country specializes in the goods in which it has a comparative advantage.

Option D is incorrect because although prices of goods may be different between countries, the theory of comparative advantage is concerned with the opportunity cost of production.

20-B:

- ➔ When a country's exports are price-elastic, it means that a change in the price of its exports causes a proportionately larger change in the quantity of exports demanded. In this case, the government of the country introduces export subsidies, which are payments made by the government to domestic producers of exported goods.

The effect of these subsidies on the balance of trade (BOT) and terms of trade (TOT) can be explained as follows:

Balance of trade (BOT): Export subsidies will increase the supply of the country's exports, as domestic producers are incentivized to produce and export more goods due to the subsidies. As a result, the prices fall and the quantity of exports, that is, demanded will extend by a **relatively higher percentage due to elastic demand**, and this will cause an increase in export revenues and in turn a country's BOT, as it earns more revenue from exporting more goods.

Terms of trade (TOT): The TOT refers to the ratio of export prices to import prices. Export subsidies will lead to an increase in the supply of the country's exports, which will result in a downward pressure on the price of the country's exports, relative to imports, and when numerator decreases, this will result in a decrease in the country's TOT.

In summary, the introduction of export subsidies by a country with price-elastic exports will lead to an increase in the quantity of exports and an increase in the BOT. However, it will also lead to a decrease in the price of exports and a decrease in the TOT.

21-A:

21 The table shows the average changes in the prices and volumes of exports and imports.

Which combination of changes would result in an increase in the terms of trade?

	export prices	export volumes	import prices	import volumes
A	-10%	+5%	-15%	+10%
B	-3%	+6%	-2%	+1%
C	+5%	-5%	+6%	-1%
D	+10%	-5%	+12%	-6%

→ We are interested in prices, and not volumes

A - Import prices are falling by a relatively higher percentage, as compared to export prices, which means that export prices are relatively higher. When numerator is greater than denominator, the "terms of trade improves". **This is why, key A, becomes correct.**

B- Export prices are decreasing by a higher percentage than import prices, which means that the TOT worsens.

C - Import prices are rising by a higher percentage than export prices. This means that import prices are higher, which leads to a worsening effect on the TOT.

D- Import prices are again increasing by a relatively higher percentage, which means that the TOT worsens.

22-D:

First let us understand the meaning of "increasing the size of quota"

Increasing the size of the quota means that government is now allowing more goods to be imported.

If firstly, the government allowed 200 cars to be imported ,now increasing the size of the quota means that it is allowing more cars i.e. 300 cars to be imported.

- A- Increasing the size of the quota means that more goods are allowed to be imported in the country, and since domestic shortages reduce, there is a downward pressure on the domestic prices. As a result of which, the quantity that is demanded ,extends.
- B- When more goods are allowed to be imported, this means that there will be less shortages, or in other words, the good will become "less expensive"
- C- Quota does not lead to tax revenue generation
- D- When the size of quota increases, as mentioned above, there will be more of the good imported. This is why, this becomes correct.

23-D:

We are interested in an option that brings about a rightward shift in Aggregate supply curve.

A: In the short run ,depreciation may lead to a fall in Aggregate supply and in turn “cost push inflation”

This is because, as imported goods appear relatively expensive, there is a contraction in qty demanded by a relatively smaller percentage for those goods that have an inelastic demand, which includes raw materials ,which are faced with no close substitutes in the short-run. This leads to a rise in import expenditures ,and in turn costs, which will lead to a leftward shift in the Aggregate supply curve.

B: A decrease in price level, is a consequence of a rightward shift in the Aggregate supply curve, and is not a cause.

C: A fall in immigration or a fall in net immigration represents a situation whereby more people leave the country rather than enter the country, and when more people of the working age emigrate, this leads to shortages of labor, which results in an upward pressure on the wage rates , as a result of which there is a rise in costs, and a reduction in Aggregate supply.

D: A fall in the average level of wages will reduce labor costs and in turn result in a fall in costs of production of producers in an economy, leading to a rightward shift in the Aggregate Supply curve. This is why, this option becomes correct.

24-D:

A) Tariffs are essentially taxes on imports, and when a country imposes tariffs on a specific product, it tends to reduce imports of that product. In this case, Country X imposed a tariff on steel products, which means it is likely to reduce its imports of steel from Country Y. **“Consequently, the balance of payments may improve for country X. But since, in retaliation, a tariff has been placed by country Y, the exports of computers of country X may reduce as well, which may have a worsening effect on the deficit.”**

The net effect on the Balance of Payments will be indeterminate, since we do not have any information about the price elasticities of demand.

B) This option suggests that the exchange rate value between Country X and Country Y will not change due to the trade actions of imposing tariffs. **As can be seen above that the net effect on Balance of payments is indeterminate, that is, it cannot be determined, because at the same time, the volume of imports and volume of exports is contracting, and above all there is no information about price elasticities of demand to identify whether there is a deficit or a surplus, we cannot determine the effect on the exchange rate value.**

C) This option suggests that the trade actions will not have any negative impact on the profits and employment of domestic firms in both countries. **However, when countries engage in a “trade war” by imposing tariffs on each other, it often leads to negative consequences for domestic firms. Tariffs make imported goods more expensive, which can reduce demand for those goods and potentially harm the profits and employment of domestic firms “that rely on imports.”** Therefore, it is unlikely that the profits and employment of domestic firms in both countries will be preserved.

D: This option suggests that the trade actions will lead to a decrease in the volume of trade between the two countries. This is the correct answer because when countries impose tariffs on each other, it creates barriers to trade and increases the cost of imported goods. **In this case, both countries have imposed tariffs on each other's products, which will likely reduce the volume of bilateral trade between them. Higher tariffs on steel products from Country Y in Country X will make them more expensive, leading to decreased demand. Similarly, the tariff on computers from Country X in Country Y will increase their price, reducing demand.** Therefore, the volume of trade between the two countries is likely to be reduced as a consequence of these actions.

25-C:

A) Employment levels: An increase in employment levels within a country typically indicates a growing economy with higher demand for labor. When purchasing powers of individuals are likely to rise, they are more likely to increase their demand for imported goods, to increase their standard of living. This will increase their supply of currency, leading to **depreciation of the exchange rate**.

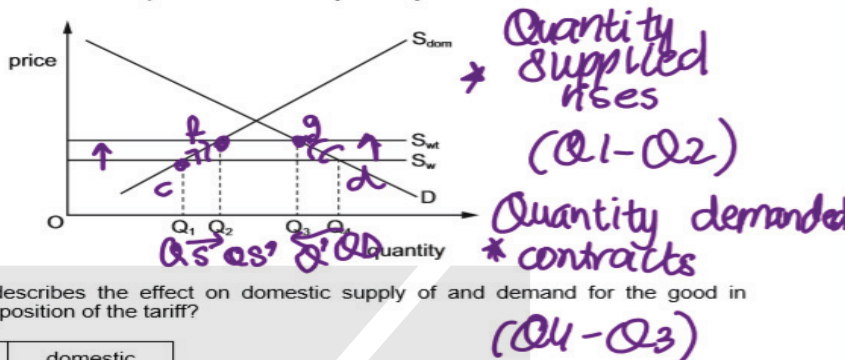
B) Income levels: Similar to employment levels, an increase in income levels suggests a growing economy and increased purchasing power. When purchasing powers of individuals are likely to rise, they are more likely to increase their demand for imported goods, to increase their standard of living. This will increase their supply of currency, leading to **depreciation of the exchange rate**.

C) Interest rates: This is the correct answer. An increase in interest rates within a country can cause its exchange rate to appreciate. When a country's interest rates rise, it tends to attract foreign investors seeking higher returns on their investments. Increased demand for the country's currency because of these hot money inflows leads to an **appreciation of the exchange rate**. Higher interest rates can make a country's assets more attractive to foreign investors, leading to a stronger exchange rate.

D) Price levels: Changes in price levels, such as inflation, when makes exported goods appear relatively expensive leads to a fall in demand for currency relative to supply of currency, which rises as imported goods appear relatively expensive, leading to **"depreciation of the exchange rate"**

26-B:

- 26 The diagram shows the effects of the imposition of a tariff on an internationally-traded good. S_{dom} is the supply and D the demand in country R. S_w is the world supply curve of the product and S_{wt} is the world supply curve after the imposition of a tariff by country R.

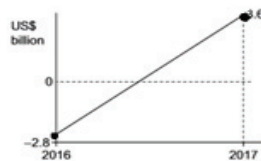


Which combination describes the effect on domestic supply of and demand for the good in country R after the imposition of the tariff?

	demand	domestic supply
A	falls	falls
B	<u>falls</u>	<u>rises</u>
C	rises	falls
D	rises	rises

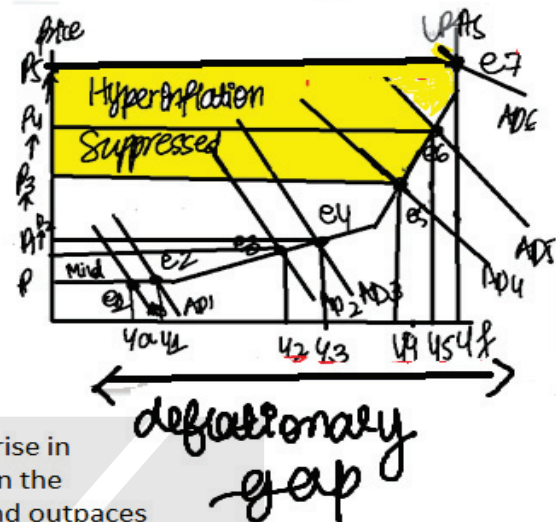
27-C:

- A) A fall in the rate of economic growth: A trade surplus, which represents an excess of exports over imports, will increase Aggregate demand, which can boost actual economic growth, as a rise in Aggregate demand brings about a rise in production, demand for labor and a rise in employment.
- B) A fall in the foreign currency reserves: A Balance of Trade surplus means that a country is exporting more goods and services than it is importing. This generates a surplus of foreign currency, which increases the country's foreign currency reserves. Therefore, the correct impact of a Balance of Trade surplus would be an increase, rather than a fall, in the foreign currency reserves.
- C) A fall in the number of unemployed: This is the correct answer. When an economy experiences a Balance of Trade surplus, it means that there is a higher demand for domestic goods and services from foreign countries, leading to a rise in Aggregate demand, which results in an increased production and employment within the domestic economy. **(Most importantly, there is a fall in demand-deficient unemployment)** The surplus in trade can create job opportunities and reduce unemployment as domestic firms expand production to meet the demand for exports. Therefore, a fall in the number of unemployed is the most likely impact of a Balance of Trade surplus.
- D) A fall in the rate of inflation: A rise in Aggregate demand, when the economy is closer to potential leads to Aggregate demand outpacing Aggregate supply, leads to shortages, and a rise in general price level, representing "demand pull inflation", thus making option D incorrect. This can be seen in the diagram below:



* Change from a deficit to a surplus

* A Balance of Trade surplus will result in a rise in Aggregate demand because of injections in the circular flow, and when Aggregate demand outpaces Aggregate supply, it will result in shortages, and in turn a rise in general price level representing "demand pull inflation".



28-B:

Fiscal policy: The government manipulates taxation and government spending to influence Aggregate demand

Monetary policy: Demand side policy handled by the central bank, where the "money supply", "interest rates" and "exchange rate" are influenced.

- A) A cut in the rate of corporation tax represents an "expansionary fiscal policy"
- B) A reduction in the interest rates represents an "expansionary monetary policy"
- C) Switch from direct taxation to indirect taxation represents "fiscal policy"
- D) Maximum price is a micro-economic "price control"

29-D:

A) An increase in income tax: When income tax is increased, it reduces the disposable income of individuals. As a result, people have less money to spend. This decrease in spending can lead to decreased **consumption expenditure**, and in turn a fall in Aggregate demand, which can put downward pressure on prices and potentially reduce inflationary pressures.

B) An increase in interest rates: When interest rates are increased, borrowing becomes more expensive. Higher interest rates discourage borrowing and can reduce the overall level of investment expenditure as well. This decrease in spending and investment can lead to lower Aggregate demand and potentially lower inflationary pressures.

C) Limiting the amount banks can lend: If the amount banks can lend is limited, it can reduce the availability of credit in the economy. This reduction in lending can lead to lower consumer spending and business investment. Similar to the previous options, decreased spending and investment can result in lower Aggregate demand and potentially lower inflation.

OPTION A REPRESENTS CONTRACTIONARY FISCAL POLICY

WHEREAS, OPTIONS B AND C REPRESENT CONTRACTIONARY MONETARY POLICY

D) Raising the level of import tariffs: Import tariffs are taxes imposed on imported goods. When tariffs are increased, the prices of imported goods rise, and in case of raw-materials with an inelastic demand, there is a contraction in qty demanded by a relatively smaller percentage, leading to a rise in import expenditures, and this rise in costs will subsequently reduce Aggregate supply, contributing to a rise in "cost-push inflation"

30-A:

30 What are the components of aggregate demand?

- ☒ A consumption + investment + government spending + (exports – imports)
- ☐ B consumption + investment + taxation – (exports – imports)
- ☐ C consumption + saving + taxation – (exports – imports)
- ☐ D consumption + saving + taxation + (exports – imports)

Aggregate demand = $C + I + G + (X - M)$
C & consumption (X-M) & net exports.
I & Investment
G & Government spending
Total income of the economy.

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